

Notice from the National Commission for Data Protection regarding Bill No. 8082 on property tax, land mobilization tax, and tax on the non-occupation of housing, amending 1° the amended law known as "Abgabenordnung (AO)" of May 22, 1931; 2° the amended law known as "Bewertungsgesetz (BewG)" of October 16, 1934; 3° the amended law known as "Steueranpassungsgesetz (StAnpG)" of October 16, 1934; 4° the amended law of April 17, 1964 concerning the reorganization of the administration of direct contributions; 5° the amended law of December 4, 1967 concerning income tax; 6° the amended law of April 30, 2004 authorizing the National Solidarity Fund to participate in the prices of services provided in the context of the reception of persons admitted to an integrated center for the elderly, a nursing home, or another medico-social establishment providing day and night care; 7° the amended law of July 19, 2004 concerning municipal planning and urban development; 8° the amended law of October 22, 2008 on the right of emphyteusis and the right of superficies and introducing various administrative and fiscal measures in favor of housing promotion; 9° the amended law of December 23, 2016 concerning the collection, seizure, and control of housing assistance files; 10° the law of July 28, 2018 concerning social inclusion income; 11° the law of July 22, 2022 concerning a rent subsidy and repealing: 1° the amended law of July 19, 1904 on municipal taxes; 2° the amended law known as "Grundsteuergesetz (GrStG)" of December 1, 1936.

Deliberation No. 52/AV20/2024 of August 7, 2024.

1. In accordance with Article 57.1.e) of Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018 organizing the National Commission for Data Protection and the general regime on data protection refers, the CNPD advises the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing.

Article 36.4 of the GDPR states that "[m]ember states shall consult the supervisory authority in the framework of the preparation of a legislative proposal to be adopted by a national parliament, or of a regulatory measure based on such a legislative proposal, which relates to processing."

2. Although not directly consulted by the Ministry of the Interior, the National Commission nonetheless wishes to express its opinion on Bill No. 8082 on property tax, land mobilization tax, and tax on the non-occupation of housing, amending 1° the amended law known as "Abgabenordnung (AO)" of May 22, 1931; 2° the amended law known as "Bewertungsgesetz (BewG)" of October 16, 1934; 3° the amended law known as "Steueranpassungsgesetz (StAnpG)" of October 16, 1934; 4° the amended law of April 17, 1964 concerning the reorganization of the administration of direct contributions; 5° the amended law of December 4, 1967 concerning income tax; 6° the amended law of April 30, 2004 authorizing the National Solidarity Fund to participate in the prices of services provided in the context of the reception of persons admitted to an integrated center for the elderly, a nursing home, or another medico-social establishment providing day and night care; 7° the amended law of July 19, 2004 concerning municipal planning and urban development; 8° the amended law of October 22, 2008 on the right of emphyteusis and the right of superficies and introducing various administrative and fiscal measures in favor of housing promotion; 9° the amended law of December 23, 2016 concerning the collection, seizure, and control of housing assistance files; 10° the law of July 28, 2018 concerning social inclusion income; 11° the law of July 22, 2022 concerning a rent subsidy and repealing: 1° the amended law of July 19, 1904 on municipal taxes; 2° the amended law known as "Grundsteuergesetz (GrStG)" of December 1, 1936 (hereinafter referred to as the "bill").

3. The National Commission wishes to point out that while the impact assessment sheet of the bill indicates that it would have been consulted prior to its submission, this was not the case. In its opinion on Bill No. 8086 concerning the national and municipal registers of buildings and housing, the CNPD also expressed regret at not having been consulted for its opinion.

****CNPD****

****Opinion of the National Commission for Data Protection****

****Regarding Bill No. 8082 on Property Tax, Land Mobilization Tax, and Tax on Non-Occupied Housing Amending the Modified Law Known as "Abgabenordnung (AO)" of May 22, 1931 and Certain Related Laws****

1. During the deposit of the bill currently under review, it notably provides for the interconnection of the national register of buildings and housing, the creation of which is provided for by Bill No. 8086, with the national register of natural persons (hereinafter referred to as the "RNPP").

2. It appears from the explanatory memorandum that one of the main objectives of the bill under review is to combat the housing shortage by introducing taxes aimed, on the one hand, at encouraging property owners to mobilize their land and, on the other hand, at (making) vacant housing occupied.

3. In order to identify taxable objects, the bill intends to create new registers, such as the national register of undeveloped land or the register of unoccupied housing. Given that the information contained in these registers relates to one or more identified or identifiable natural person(s), namely the owner(s), they are to be considered as personal data whose processing is subject to the GDPR. This opinion will limit its observations to the aspects of the bill relating to the protection of personal data.

****I. Preliminary Remarks****

4. It appears from the explanatory memorandum that the bill "aims to reconcile two main objectives, which relate to the reform of property tax and the fight against the housing shortage." "Thus, the bill concerns three different types of taxation that fit into a logical sequence, consisting of layered taxation."

5. In order to remedy the housing shortage that Luxembourg is suffering from, the bill notably provides for the creation of two new fiscal instruments, namely the land mobilization tax and the tax on non-occupied housing.

6. Thus, Article 2 of the bill specifies that the minister is competent to set the base value and to establish the base value bulletin. The provisions of said article then allocate the competencies regarding the determination, collection, and recovery of these taxes between the municipalities (for property tax) and the ACD (for the land mobilization tax).

****II. Access to the RNPP and the Municipal Register of Natural Persons****

7. Several provisions of the bill grant certain authorities the power to consult the RNPP as well as the municipal register of natural persons.

8. Thus, it follows from Article 7.2 of the bill that the minister responsible for the Interior (hereinafter referred to as the "minister"), the municipal collector, and the Administration of Direct Contributions (hereinafter referred to as the "ACD") are authorized to consult the RNPP to determine the habitual residence of the taxpayer in the context of notifications.

9. Article 26.1, paragraph 2, states that the college of mayors and aldermen is authorized to access the municipal register of natural persons or, if necessary, the RNPP in order to identify the beneficiaries of flat-rate reductions on property tax. Article 33.2, paragraph 2, further provides that...

****[Note: The text appears to be incomplete at this point. The translation provided is up to the content available.]****

that the ACD is authorized to access the RNPP to identify the taxpayer's children, which may, if applicable, lead to a flat-rate reduction.

14. The CNPD aligns with the observations of the Council of State regarding Articles 7 and 26, according to which these provisions may be omitted. Indeed, the amended law of June 19, 2013, concerning the identification of natural persons, as well as the Grand-Ducal Regulation of November 28, 2013, setting out the modalities for the application of the law of June 19, 2013, concerning the identification of natural persons, define the modalities for accessing the RNPP.

III.

Processing of personal data related to the base value

15. Article 2 of the draft law specifies that the minister is competent to set the base value and to

establish the base value bulletin. This article also indicates that the base value thus determined serves as the basis for calculating property tax as well as the tax on land mobilization. Therefore, in order to set the base value for establishing the base value bulletin, the minister is required to collect personal data. Once the base value is determined by the minister, he makes available, in accordance with Article 15 of the draft law, the data referred to in Articles 13.1, 13.6, and 21 of the draft law, to the college of mayors and aldermen as well as to the ACD. This data thus allows for the assessment, collection, and recovery of property tax for the college of mayors and aldermen as well as for the ACD concerning the tax on land mobilization.

A. The data controller(s)

16. First of all, it should be noted that the concept of data controller plays a crucial role in the application of the GDPR as it determines who is responsible for compliance with the various rules regarding data protection and how the data subjects can exercise their rights. Therefore, it is important to correctly identify which entity is responsible for the processing.

17. Article 16.1 of the draft law states that "the minister is the data controller for the data related to the base value." The CNPD understands that the minister would be the data controller concerning the processing of data related to the determination of the base value.

B. The purposes of the processing

18. It should be noted that the concept of "purpose," that is, the objective pursued by the processing, occupies a central place within the GDPR. According to Article 5.1.b) of the GDPR, personal data must be collected for specified, explicit, and legitimate purposes, and must not be processed further in a manner incompatible with those purposes. Furthermore, other principles provided for by the GDPR, such as the principles of data minimization or storage limitation, are assessed in light of the purposes for which the data is processed. Consequently, it is important that the purposes are clearly defined in the draft law.

19. Article 16.2, first sentence, of the draft law exhaustively lists the purposes for which data related to the base value may be processed, namely the determination, collection, and recovery of property tax and the tax on land mobilization.

20. Moreover, the second sentence of Article 16.2 specifies that data related to the base value "may also be processed for scientific, statistical, administrative, and fiscal purposes, provided that the purpose of such processing is compatible with the purposes for which the data was established and collected."

21. In its opinion of June 13, 2023, the Council of State considers, referring to Article 89 of the GDPR, that the second sentence of paragraph 2 is superfluous. The CNPD can agree to some extent with the analysis of the Council of State. However, it wishes to remind that further processing for scientific research and statistical purposes is not considered incompatible with the initial purposes, provided that it is subject, in accordance with Article 89.1 of the GDPR, to appropriate safeguards for the rights and freedoms of the data subject. Pseudonymization, or even anonymization, is highlighted by Article 89.1 of the GDPR as measures to ensure the rights and freedoms of the data subjects. However, in the case of direct access to all data contained in the register of unoccupied housing... occupied, the minister responsible for Housing would have access to information that can be directly attributed to a natural person, namely the taxpayer, and which is therefore not pseudonymized or even anonymized. It is also recalled that Article 65 of the aforementioned law of August 1, 2018, must be respected in the context of data processing carried out for statistical purposes or for scientific research purposes.

22. Finally, it should be emphasized that the aforementioned articles as well as Article 89 of the GDPR only apply to processing for scientific or historical research purposes or for statistical purposes. Therefore, regarding the administrative and tax purposes mentioned in the provision under review, the National Commission believes that the terms used are far too vague and do not allow for a clear understanding of what concrete use would be made of the data related to the base value.

C. The categories of data appearing on the base value bulletin

23. Article 13.1 of the draft law exhaustively lists the information appearing on the base value bulletin, established by the minister, which would subsequently be made available to the authorities responsible for the assessment, collection, and recovery of property tax or the tax on land mobilization.

24. However, Article 13.6 of the draft law states that “[t]he content of the base value bulletin as set out in paragraph 1 may be supplemented by any other useful mention.” The CNPD regrets such an addition and believes that, in accordance with Articles 31 and 37 of the Constitution, the data that the minister would be required to make available to other authorities should be exhaustively stated at the level of the law.

D. The provision of data from the base value bulletins

25. Article 15 of the draft law relates to the provision of data from the base value bulletins to the college of mayors and aldermen as well as to the ACD so that they can respectively set the property tax and the tax on land mobilization.

26. Although the aforementioned article remains silent on how this provision occurs, it results from the commentary on the articles that it would involve direct electronic access. Like the Syndicate of Luxembourg Cities and Municipalities (hereinafter referred to as “Syvicol”), the CNPD considers that this should be specified in the actual text of the draft law.

27. It is worth questioning the modalities of data communication referred to in Article 15, paragraph 2 of the draft law: will the communication take place through access to the national register of undeveloped land? If so, for better readability of the provisions, this access should be specified in Article 22 of the draft law. Indeed, this article aims to regulate access to that register. In any case, clarifications on this matter would be warranted from the authors of the draft law.

IV. The national register of undeveloped land

28. The draft law provides for the creation of a national register of undeveloped land with a view to reinstating the tax on land mobilization.

A. The data controller(s)

29. Article 24 of the draft law states that “[t]he minister, respectively the mayor, shall be the data controllers in the context of reinstating the register [...]”. Given the importance of the concept of data controller in the application of the GDPR, this provision raises the following questions: is it a case of joint responsibility or of independent and successive data controllers who intervene at different stages of the processing operation chain? If it is to be a case of joint responsibility, Article 26 of the GDPR would apply. A clarification of the text on this point is necessary.

30. For all useful purposes, the CNPD recalls that the concept of data controller is a functional concept in that it aims to allocate responsibilities based on the actual roles of the parties. This implies that the designation as a data controller by the draft law should align with the activities actually performed by the entity in question.

If the qualification of the minister as the data controller seems to correspond to the tasks assigned to him by the proposed law, doubts remain regarding the qualification of the mayor. Just like the Syvicol, the National Commission notes in this regard the limited role assigned to the mayor within the framework of the national register of undeveloped land. According to the commentary on the articles, “most of the time, the mayor’s intervention consists of informing the minister that the major construction work on a site has been completed, so that the land in question can no longer be classified as undeveloped land [...]. The control to be carried out by the mayor therefore only concerns the undeveloped land on which construction work has been initiated since the last update of the register.”

B. Purposes of the processing

31. Although Article 24 of the draft law is titled “Responsibilities and purposes of data processing,” the

article merely determines which entity is to be qualified as the data controller and does not contain any indication regarding the purposes pursued by the processing carried out through the national register of undeveloped land.

32. However, Article 17 of the draft law specifies the objectives of the national register of undeveloped land. Thus, this register meets various fiscal, administrative, statistical, and scientific needs. Regarding processing for statistical and scientific purposes, the CNPD refers to its developments outlined in points 21 and 22 of this opinion.

33. Article 17.2 of the draft law further specifies that "[t]he purpose of the register is to list at the national level undeveloped land, serviced land, and non-serviced land, with a view to restoring the basic value bulletin and the land mobilization tax bulletin for these lands."

34. Thus, for a better understanding of the text under review, such clarifications should be included in Article 24 of the draft law, which is titled "the purposes of data processing."

C. Access to the national register of undeveloped land

35. Article 22.1 of the draft law provides that the mayor has access to the national register of undeveloped land so that he can inform the minister of the "adjustments" to be made in accordance with Article 19.3.

36. According to Article 22.2 of the draft law, notaries and authorities involved in establishing a leasehold or surface right would have access to the register to inform the concerned parties that the land mobilization tax may, where applicable, be due. As previously raised for Article 15, it could be useful to specify that this is direct access via electronic means.

37. Article 22.3 of the draft law further states that any other person would have access to the register in the forms provided for by Article 23. Article 22.4 states that the Cadastre and Topography Administration ensures that a visualization of the register in the form of an interactive map would be publicly accessible on the Geoportal website.

38. The CNPD assumes that all data listed in Article 21 of the draft law would be included in this map and regrets that the authors do not express the reasons that led them to foresee the creation of such a publicly accessible map. The authors simply indicate in the commentary on the articles that "as a rule, the register is public, so that real estate transactions can be carried out with knowledge of a potential land mobilization tax that may be due." Did the authors of the draft law intend to draw a parallel with access to cadastral documentation that is accessible to the public, under certain conditions, under the principle of "land publicity"? Thus, the National Commission finds itself unable to comment on the proportionality of this data processing.

39. Furthermore, such provisions raise the following questions: how do the provisions of Article 22.3 of the draft law relate to the provisions of the law of July 26, 2010, transposing Directive 2007/2/EC of the European Parliament and of the Council of March 14, 2007, establishing an infrastructure for spatial information in the European Community (INSPIRE) into national law? More specifically, could the access restrictions provided for in Article 11 of the aforementioned law of July 29, 2010, apply in this case?

D. The Extracts

40. It follows from Article 23 of the draft law, read together with Article 22.3, that any person may request an extract from the register of undeveloped land containing the information provided for in Article 21. The request and the extract are established in electronic form and through the Geoportal website. Here again, the authors of the draft law remain silent on the reasons why any person, without having to justify a particular interest, is entitled to receive such an extract, so that the CNPD cannot assess the proportionality of this measure. As noted above in point 38, it wonders whether the authors of the draft law intended to draw a parallel with the accessibility of cadastral documentation under the principle of "land publicity." However, it should be noted that Article 4 of the draft Grand-Ducal Regulation (developed in parallel with Draft Law 8330B) concerning the consultation and dissemination of documentation related to official measurement, cadastral documentation, topographic documentation, the national register of localities and streets, and the national coordinate reference systems managed by the Administration of Cadastre and Topography; and setting the fee rates to be collected for the benefit of the State for office and field work carried out by the Administration of

Cadastre and Topography, aims to frame, if not limit, under certain conditions, the issuance of extracts. It is regrettable that such measures are not provided for in the draft law under review.

41. The National Commission would also like to draw the attention of the authors of the draft law to the remarks made by the Council of State regarding Article 3 of draft law No. 8330B, in which it stated that: "This article provides the legal basis for a Grand-Ducal regulation for the consultation and dissemination of documentation related to official measurement, cadastral documentation, topographic documentation, the national register of localities and streets, and the national coordinate reference systems managed by the Administration. The Council of State is currently seized of a corresponding draft Grand-Ducal regulation which also sets the fee rates to be collected for the benefit of the State for office and field work carried out by the Administration, pursuant to Article 14, paragraph 1, of the draft law under review."

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Regarding the nature of the data to be consulted by third parties, the Council of State notes that these are personal data and recalls, in this regard, that Article 31 of the Constitution, which is included in the section dedicated to public freedoms, states that "every person has the right to informational self-determination and to the protection of personal data concerning them. These data may only be processed for purposes and under conditions determined by law," while Article 37 of the Constitution specifies, in its first sentence, that "any limitation on the exercise of public freedoms must be provided for by law and respect their essential content."

// In addition to this reminder of fundamental texts, the Constitutional Court, by refining its previous jurisprudence, held in its judgment No. 177 of March 3, 2023, that "according to Article 32, paragraph 32, of the Constitution, in matters reserved by the Constitution to the law, the setting of the objectives of the implementing measures must be clearly stated, as well as the conditions to which they are, where applicable, subject. The orientation and framework of executive power must, in any case, be consistent, precise, and readable, the essence of the relevant provisions being required to be included in the law."

It is necessary to determine, within the national legal order, the conditions under which personal data may be processed for a purpose other than that for which they were collected in the sense of Article 6, paragraph 4, of Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC, which covers the cases in which data is communicated by an administration to third parties. This communication of personal data to third parties must be strictly regulated, in application of the right to security and confidentiality arising from the aforementioned European regulation.

In order to ensure the compliance of the provision under examination with Articles 31 and 37 of the Constitution, // it is necessary, under penalty of formal opposition, to supplement this provision by specifying in particular the nature of the personal data communicated to third parties, the quality of the "duly identified interested third party," as well as the purpose and the conditions under which this exchange takes place.

42. It must be noted that the draft law under examination does not specify the modalities for issuing these extracts. The National Commission strongly recommends that the authors of the draft law provide for the modalities for issuing such extracts, similar to the draft Grand-Ducal regulation concerning the consultation and dissemination of documentation related to measurement.

20 V. Opinion No. 61.798 of July 12, 2024, of the Council of State, doc. pari. No. 8330B/2.

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official, cadastral documentation, topographic documentation, the national register of localities and streets, and the national coordinate reference systems managed by the Cadastre and Topography Administration; and setting the fee schedule to be collected for the benefit of the State for office and field work carried out by the Cadastre and Topography Administration, which aims to frame, and possibly limit, under certain conditions, the issuance of extracts.

43. Furthermore, it is particularly important to draw the attention of the authors of the bill to the interpretation of Article 15.1(e) of the GDPR, which grants the data subject the right to obtain from the data controller information on the recipients or categories of recipients to whom the personal data has been disclosed, following the ruling of the Court of Justice of the European Union (hereinafter "CJEU") of January 12, 2023. In this ruling, the CJEU held that Article 15.1(e) of the GDPR "must be interpreted in such a way that the right of access of the data subject to personal data concerning them, as provided for by this provision, implies, when such data has been or will be communicated to recipients, the obligation for the data controller to provide that person with the very identity of those recipients, unless it is impossible to identify those recipients or unless the data controller demonstrates that the access requests from the data subject are manifestly unfounded or excessive, within the meaning of Article 12, paragraph 5, of Regulation 2016/679, in which case the data controller may only indicate to that person the categories of recipients involved" (emphasis added).

44. The National Commission believes that in order to comply with this ruling, the data controller(s) should implement a strong authentication system for individuals making requests for the issuance of an extract from the cadastral documentation, which would allow for greater transparency towards the concerned property owners. They indeed have the right, based on Article 15.1(e) of the GDPR, to obtain from the data controller(s) information about the individuals who have obtained an extract related to their property.

E. Security Measures

45. Finally, to the extent that access to the register of unoccupied housing is provided for in the proposed text, it is important to remind that the data controller must respect the principle of integrity and confidentiality referred to in Article 5.1(f) of the GDPR. Article 32 of the GDPR further states that "the data controller and the processor shall implement appropriate technical and organizational measures to ensure a level of security appropriate to the risk."

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****V. Data Processing Related to Property Tax****

46. The articles of Chapter 2 of the draft law under review deal with property tax. Article 31, titled "Responsibilities and Purposes of Data Processing," states in its first paragraph that "[t]he college of mayors and aldermen, respectively the municipal collector, shall be the data controller for the data related to property tax from the deadline provided in Article 15 [...]," thus from the availability of the data from the base value bulletins by the minister.

47. Article 31.2 of the draft law restrictively indicates the purposes of data processing related to the tax on the mobilization of undeveloped land by stating that they "may not be processed for purposes other than the assessment, collection, and recovery of the tax for which the data were generated." The second sentence specifies that this data "may also be processed for scientific, statistical, administrative, and fiscal purposes, provided that the purpose of such processing is compatible with

the purposes for which the data were established and collected." Reference is made to the developments under points 21 and 22 of this opinion.

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****VI. Data Processing Related to the Tax on the Mobilization of Land****

48. Article 40 of the draft law addresses the responsibility as well as the purposes of data processing. The first paragraph indicates that the director of the ACD is the data controller for the data related to the tax on the mobilization of land from the deadline provided in Article 16. The CNPD assumes that this is a material error and that the authors actually intend the deadline provided in Article 15, paragraph 2, that is, from the availability of the data from the base value bulletins by the minister.

49. Regarding the purposes listed in Article 40.2 of the draft law, the CNPD believes that the second sentence of Article 40.2 is written in terms that are too vague to determine what concrete use will be made of this data.

****VII. The Register of Unoccupied Housing****

50. In the context of introducing a tax on the non-occupation of housing, the draft law provides for the creation of a register of unoccupied housing, aimed at identifying the housing that may be subject to this tax. This identification subsequently allows for the issuance of the tax bulletin on the non-occupation of housing.

51. While it is commendable that the very principle of maintaining a register is included in the draft law, certain points would merit more precise detailing.

****A. The Data Controller(s)****

52. Under Article 43.3, the mayor and the ACD are to be qualified as data controllers regarding the processing carried out through the register under review. Thus, according to Article 43.3, first paragraph 1 of the draft law, the mayor has the status of data controller. The second paragraph further provides that "[w]ithout prejudice to the provisions of paragraph 1, from the availability of data provided for in Article 45, the director of the Administration of Direct Contributions has the status of data controller for the data related to the state of non-occupation of a housing unit that concerns him, under the conditions of paragraph 1."

22 V. Points 21 and 22 of this opinion.

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The CNPD understands that the mayor has the status of data controller for the processing of data for the purpose of identifying unoccupied housing. Furthermore, it is also evident from the commentary on the articles that the mayor would ensure the ongoing management of said register.

53. The ACD, for its part, would, according to the understanding of the CNPD, be responsible for the processing of data for the purpose of establishing the tax on unoccupied housing. However, it should be noted that Article 55 of the draft law designates the director of the ACD as the data controller for the data related to the tax on unoccupied housing. The National Commission questions whether these provisions are necessary as they seem to reiterate the provisions of Article 43.3 of the draft law. For all practical purposes, it should be noted that Article 55 is titled "data responsibility." The CNPD suggests

omitting these terms and replacing them with the notion of "data controller," as defined by Article 4.7 of the GDPR.

54. Furthermore, it should be noted that the authors of the draft law specify in the commentary on the articles that "at the municipal level, the mayor is the data controller for personal data. At the national level, this responsibility lies with the director of the Administration of Direct Contributions." Thus, the very architecture of the register of unoccupied housing raises questions: is it a unique national register or does each municipality have its own register at the municipal level? Would the system of the register of unoccupied housing not function like the national register, as referred to in Article 3 of the law on the identification of natural persons, which is fed by the municipal registers mentioned in Article 17 of said law? If this were to be the case, the authors of the draft law could draw inspiration from the aforementioned provisions. In any case, for a better understanding of the functioning of said register, clarifications would merit being provided by the authors of the draft law.

55. Finally, in the event that it is a unique national register, it would also be necessary to clarify the relationship between the different data controllers, namely the mayors, as representatives of the various municipal administrations. Are they joint controllers within the meaning of Article 26 of the GDPR or, on the contrary, independent controllers? Furthermore, it would be important to ensure that each municipality only has access to information related to the housing within its territorial jurisdiction, in accordance with the principle of data minimization.

56. In any case, for better readability of the provisions under review and insofar as the register pursues several purposes for processing carried out by several data controllers, it would be appropriate to specify separately for each of the processing activities pursuing one of the purposes stated in Article 43 of the draft law who the data controller is.

B. The purposes of processing

57. Article 43.2 of the draft law states that "[t]he purposes of processing data in the register of unoccupied housing are the identification of unoccupied housing, as well as the management of the tax on unoccupied housing at the national level. [...]". The third paragraph, last sentence, further specifies that "[t]he data related to the determination of the state of non-occupation of a dwelling may not be used for purposes other than the assessment, collection, and recovery of the tax on unoccupied housing, as well as for statistical and scientific research purposes." On this point, reference is made to the developments outlined in points 21 and 22 of this opinion.

C. Access to the register of unoccupied housing

58. Article 43.4 of the draft law provides that the minister responsible for housing has access to the register of unoccupied housing for statistical and scientific research purposes. If the authors of the draft law envisage direct access via electronic means, it would be advisable to specify this in the text of the draft law to enhance legal certainty.

59. Moreover, it follows from Article 45 of the draft law that the mayor makes available to the ACD the decisions regarding the determination of the state of non-occupation of a dwelling. If this provision remains silent again on how this provision is carried out, the ACD would, under Article 51.1 of the draft law, have access to the register of unoccupied housing for this purpose. Thus, should this access not be provided for in Article 43 rather than in Article 51? Furthermore, the National Commission assumes that this is direct access via electronic means. However, for reasons of legal certainty, it would be preferable for this specification to be included in the text of the draft law.

60. Finally, insofar as access to the register of unoccupied housing is provided for in the draft text, it should be recalled that the data controller must respect the principle of integrity and confidentiality referred to in Article 5. 1.f) of the GDPR. Article 32 of the GDPR further states that "the data controller and the processor shall implement appropriate technical and organizational measures to ensure a level of security appropriate to the risk." Such measures must be implemented to avoid, in particular, unauthorized access to data, data breaches, or unwanted modifications. It is strongly recommended to define an access management policy in order to identify from the outset the person or service within

the concerned entity, and to which specific data this person or service would have access. Furthermore, it is necessary to provide for an access logging system. In this regard, the CNPD recommends that logging data be retained for a period of five years from their recording, after which they are deleted, unless they are subject to a control procedure. Finally, the National Commission emphasizes the importance of proactively conducting internal audits. To this end, it is necessary, in accordance with Article 32. 1.d) of the GDPR, to implement a procedure "aimed at testing, analyzing, and regularly evaluating the effectiveness of technical and organizational measures to ensure the security of processing."

D. Interconnection

61. Under Article 43. 5 of the draft law, "[i]n the limits of the information provided for in paragraph 1, the register of unoccupied housing is interconnected with the national register of buildings and housing, the national register of natural persons, and the cadastral documentation." It follows from Article 44. 1 of the draft law that the state of non-occupation of a dwelling is established by the mayor, after the interconnection of the national register of buildings and housing and the RNPP. Neither the text of the draft law nor the commentary on the articles provides indications on the characteristics of this interconnection or on the data within the various files that would be subject to this interconnection. Except for the interconnection of the national register of buildings and housing and the RNPP, which aims to establish the state of non-occupation of a dwelling, the text under review remains silent on the purposes pursued by the various interconnections.

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62. In this regard, the CNPD considers that the automated linking of information from distinct files with different purposes is likely to constitute a significant interference with the right to informational self-determination as well as the right to the protection of personal data. Such interference falls within matters reserved for law under Articles 31 and 37 of the Constitution, so the contours of this interconnection should be detailed precisely in the text of the law, which is currently not the case.

63. Furthermore, the question arises as to whether the principle of data minimization is respected in this case. According to Article 5. 1.e) of the GDPR, personal data must be adequate, relevant, and limited to what is necessary in relation to the purposes for which they are processed. The draft law under review provides for the interconnection of several registers, including the RNPP, which contains a large amount of information providing a very detailed view of aspects related to the private lives of natural persons, and the national register of buildings and housing, for which it is unclear what categories of data would be intended to be included. The CNPD regrets that the authors of the draft law do not provide explanations regarding the reasons necessitating such interconnection and questions whether less intrusive means, such as simple access to the various registers, would allow for the achievement of the pursued purposes, which, except for the detection of unoccupied housing, are not clearly outlined in the draft law under review.

64. It is also necessary to consider whether the interconnection of the various registers, as provided for by the draft law, would not circumvent the rules governing their access. For example, the access modalities to the RNPP are determined by the modified law of June 19, 2013, concerning the identification of natural persons, as well as by the Grand-Ducal regulation of November 28, 2013, setting its implementation modalities. It should be ensured that the interconnection does not grant access to entities or individuals who would not have received such access under the rules governing the register in question.

65. Finally, the National Commission aligns itself with the opinion of Syvicol²⁵ in that it notes that the identifier introduced by draft bill no. 8086 is not mentioned in Article 43 of the draft bill, which enumerates the data contained in the register of unoccupied housing. However, it will be this identifier

that will enable the interconnection of the various registers. The authors of the draft bill should ensure that all data contained in the register of unoccupied housing is exhaustively enumerated.

E. The Presumption of Non-Occupation

66. Article 44 of the draft law introduces presumptions of non-occupation of a dwelling. The first paragraph provides for a presumption that can be established automatically through computerized means, and more specifically by interconnecting the national register of buildings and housing and the RNPP. Reference is made to the developments under points 61 to 65 of this opinion.

67. Paragraph 2 further states other presumptions of non-occupation, such as the case where the consumption of drinking water or energy services recorded over a period of at least six consecutive months is below a minimum consumption level. The CNPD questions how these presumptions would be established by the mayor. By what means will the mayor ascertain that the energy service consumption of a household has been below a minimum consumption level for six consecutive months? If the supply of drinking water is provided by the municipality, this is not the case for the supply of energy. In the event that this provision requires an exchange of personal data between the mayor and the energy supplier, it should be expressly provided for by law, which the draft bill does not do.

Furthermore, under the principle of proportionality, limitations on the right to the protection of personal data can only be made if they are necessary and effectively meet general interest objectives. The commentary on the articles mentions this principle but does not explain why the authors believe it would be respected in this case. Given the lack of precision in the text regarding how the mayor could verify the energy consumption of households, the CNPD finds itself unable to assess the proportionality.

Thus adopted in Belvaux on August 7, 2024.

The National Commission for the Protection of Data
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